

The Excise Export Policy 2026–2029

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UTTAR PRADESH

For an industry built around scale, supply chains and increasingly sophisticated consumer demand, regulatory certainty can become a competitive advantage. The Excise Export Policy 2026–2029 gives Uttar Pradesh's distillery sector a longer runway to invest, diversify its products and pursue opportunities beyond traditional markets. The significance of the framework lies in its three-year horizon. By separating export policy from the annual domestic retail framework, Uttar Pradesh is giving businesses a longer window to plan and invest. The larger ambition is to move the sector beyond bulk alcohol towards a more diverse portfolio of products and markets. Lower export costs, simpler compliance and greater flexibility for producers could help Uttar Pradesh-based companies compete outside the state.

Creating a More Competitive Export Base

One of the biggest opportunities lies in making Uttar Pradesh's distillery industry more competitive across state and national markets. Lower costs and simpler regulation can make it easier for producers to expand distribution and invest in brands aimed at new consumers. This becomes particularly relevant as the industry moves beyond traditional molasses-based production. The policy encourages greater use

of grain and fruit for alcohol production, opening opportunities for premium products while creating stronger links between distilleries and the state's agricultural economy. The move could also help Uttar Pradesh develop products with a stronger sense of identity. Heritage wines and spirits designed for export markets offer producers an opportunity to move towards differentiated, higher-value offerings rather than competing primarily on volume.

Strengthening the Domestic Market

While exports are at the centre of the new framework, accompanying domestic excise reforms reinforce the broader push towards a more organised market. Measures aimed at limiting excessive concentration, improving packaging standards and creating greater space for premium wines and spirits can encourage a more diverse and quality-conscious retail environment. A home market can provide producers with the scale and experience needed to develop products that are eventually competitive beyond Uttar Pradesh.



Yogi Adityanath
Chief Minister, Uttar Pradesh



Narendra Modi
Prime Minister of India

A More Efficient Industry Ecosystem

The export opportunity also depends on how efficiently products move from producers to markets. Changes to the wholesale structure are intended to give distilleries greater flexibility and reduce friction within the distribution chain. Greater control over warehousing and distribution can help producers manage costs, respond more quickly to demand and build stronger relationships with buyers. The policy's approach to product diversification also creates an opportunity to build an ecosystem around the sector, from packaging and logistics to agricultural inputs and specialised services.

Positioning the Sector for the Next Phase of Growth

The real significance of the reforms is not any single duty reduction or licensing change. It is the broader direction they signal for the state's distillery industry. A longer regulatory horizon can support investment. Greater product diversity can open new markets. More efficient supply chains can improve competitiveness. Stronger domestic demand can provide a platform for brands seeking to expand beyond the state. For Uttar Pradesh, the opportunity is to turn an established distillery base into a more diversified and export-oriented industry, creating new avenues for investment, agricultural linkages and higher-value production.

Key Policy Highlights

- **Export framework:** Dedicated Excise Export Policy 2026–2029, effective from April 1, 2026.
- **ENA export duty:** Reduced to ₹0.50 per bulk litre for molasses-based ENA sent to other states.
- **Product diversification:** Greater scope for grain- and fruit-based alcohol, heritage wines and spirits.
- **Supply chain:** Volume-linked wholesale licensing and permission for distilleries to operate their own wholesale warehouses.
- **Domestic market:** 75% cap on the share of country liquor or UPML supplied by a single distillery to one retail outlet.
- **Packaging:** Mandatory aseptic brick packs for country liquor and UPML.
- **Premiumisation:** Measures supporting Indian and BIO wines and premium IMFL offerings.